

LIBERTY CYBER THREAT INTELLIGENCE

THE ALAMO THREAT BRIEF™

OPEN SOURCE INTELLIGENCE

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DOMINANT JUDGMENT	CONFIRMED CONFLICT, UNRESOLVED COVERAGE

Executive decision intelligence for Texas critical infrastructure.

Executive Warning: The U.S.-Iran ceasefire collapsed this week — confirmed, not inferred. Trump declared it over July 8 after Iran struck three commercial ships in the Strait of Hormuz; CENTCOM hit roughly 90 Iranian targets July 9; Iran responded with drones and missiles against U.S.-linked bases in Kuwait and Bahrain. Talks continue, but the diplomatic track ATB-2026-17 assessed as “diverging” from the cyber track has been overtaken by open conflict. Separately, and weighted heavily in this issue on its own merits: an insurance-industry war game concluded that a coordinated attack on U.S. water infrastructure would be effectively uninsurable without a federal backstop — a live underwriting problem for any Texas firm carrying cyber coverage tied to critical-infrastructure dependency, independent of what happens in the Gulf.

Board Implications This Week — Ask

Is our OT isolation and vendor-disconnection posture still calibrated to confirmed Gulf hostilities, or did “talks will continue” headlines quietly relax it?

Board Implications This Week — Direct

Pull current cyber policy language on war exclusions and Terrorism Risk Insurance Act (TRIA) reimbursement this week. The insurance industry itself just demonstrated, on the record, that it doesn’t have a clean answer for a state-linked critical-infrastructure event.

Board Implications This Week — Document

Record any decision this week to maintain or adjust posture on either front, with the evidence relied upon.

CENTERPIECE ANALYSIS

The dominant fact this week is not an inference: the U.S.-Iran ceasefire is over. Iran struck three commercial ships in the Strait of Hormuz July 7; the U.S. retaliated and CENTCOM hit roughly 90 Iranian targets July 9; Iran responded with drones and missiles against U.S.-linked bases in Kuwait and Bahrain; Trump reaffirmed the ceasefire's end July 10 while keeping a negotiating track open, with another round possibly in Switzerland next week. This overtakes ATB-2026-17's framing of "diplomatic progress alongside intensifying cyber activity" — there is no diplomatic progress left to weigh against the cyber question. We hold the cyber-retaliation assessment itself at MODERATE, unchanged from ATB-2026-17, because the specific confidence-upgrade trigger that issue named — a CISA/FBI/NSA advisory or named-victim disclosure — still has not occurred. The kinetic escalation does not by itself justify upgrading a claim that still lacks its own confirming evidence.

Running alongside, and weighted heavily in this issue on its own merits: an insurance-industry war game (WIRED, 8 July) modeling a 5,000-utility water-sector attack concluded the scenario would be uninsurable without a federal backstop, and left participating insurers with no clean answer on war exclusions or Terrorism Risk Insurance Act reimbursement. This finding is not contingent on the Iran situation or on any confirmed intrusion — it is an independently actionable finding about the current state of the insurance market that Texas risk committees can verify against their own coverage this quarter.

Zoom out, and this week's pattern sharpens further. A New York Times Magazine feature on a physical data-center theft reopened a point worth sitting with: the language of "the cloud" was built, deliberately, to make information feel weightless, when in practice it runs through a small number of physical buildings carrying an outsized share of the world's finance, data, and AI workloads. The same piece notes that the world's data centers, treated as a hypothetical 51st U.S. state, would rank second in national energy consumption — behind only Texas. One security researcher cited in the piece makes the underlying point bluntly: Wall Street itself could be struck with limited effect on markets, because the New York Stock Exchange actually trades out of a data center in Mahwah, New Jersey. Texas energy, finance, healthcare, and AI infrastructure increasingly sit on the same small set of hyperscale facilities — the physical buildings behind "the cloud" that this reporting argues the public has been trained not to picture.

Bottom line: A shared-infrastructure disruption does not announce itself as belonging to Energy, Finance, or Healthcare — it surfaces downstream, in whichever sector happens to notice the outage first, long after the actual point of failure. Sector-siloed risk assessments are structurally unable to see that kind of exposure coming, because the exposure was never sector-specific to begin with. What that requires is not another one-time assessment of a single vendor or facility. It requires standing visibility into the geopolitical and policy developments shaping the infrastructure every sector already depends on — tracked continuously, not revisited once a year.

Section I

Key Judgments

KJ-1

Confirmed fact: the U.S.-Iran ceasefire ended July 8, with reciprocal strikes July 7–9 and reaffirmation July 10. **HIGH CONFIDENCE** on the fact of collapse. Separately, Liberty CTI assesses it is **likely** that renewed hostilities increase Iran's incentive for retaliatory cyber activity against U.S. water, energy, and financial infrastructure. **MODERATE CONFIDENCE**, unchanged from ATB-2026-17.

Source basis / uncertainty: Source basis: NPR, Washington Post, Axios, Bloomberg (7–10 July 2026), corroborated by Trump's direct Truth Social statement. Multi-source, high reliability. Primary uncertainty: no CISA/FBI/NSA advisory or named-victim disclosure has corroborated Iranian cyber intensification — the specific trigger ATB-2026-17 set for a confidence upgrade remains outstanding.

Decision implication: Decision Implication: Confirm OT isolation and vendor-disconnection authority delegated after the June 25–26 Hormuz exchange is still active and has not been relaxed on the strength of “talks will continue” headlines.

KJ-2

Liberty CTI assesses with confidence that a coordinated disruption of U.S. water infrastructure at the scale modeled — 5,000 utilities — would create immediate cascade into healthcare, data centers, and finance, and that current insurance-market capacity cannot absorb it without federal backstop. **HIGH CONFIDENCE** on cascade structure and insurability gap; **MODERATE CONFIDENCE** on current PRC access scale.

Source basis / uncertainty: Source basis: WIRED, 8 July 2026 — direct observation of an insurance-industry tabletop war game led by Joshua Corman (former CISA strategist, now UnDisruptable27), run for insurance-executive participants in New York. Participants confronted, in real time, whether act-of-war exclusions or Terrorism Risk Insurance Act (TRIA) reimbursement would apply to a state-linked event and concluded neither resolves the exposure cleanly. Cascade logic grounded in documented Volt Typhoon pre-positioning behavior (CISA AA26-113A, 23 April 2026). This was a simulated scenario, not an observed intrusion — the scale of current PRC access is unconfirmed.

Decision implication: Decision Implication: This is not a hypothetical for later. Texas firms with cyber coverage tied to critical-infrastructure dependency should pull war-exclusion and TRIA-reimbursement language and get counsel's read this quarter — the insurance industry itself just demonstrated, on the record, that it doesn't have a clean answer.

KJ-3

Liberty CTI assesses, with confidence, that Texas organizations broadly lack pre-delegated authority to act on vendor isolation, insurance notice, or continuity triggers before attribution is confirmed. **HIGH CONFIDENCE** — this is a directly observed pattern, not an inference about adversary behavior.

Source basis / uncertainty: Source basis: three independent stress signals this cycle — the Iran ceasefire collapse, the insurance war game, and the 8 July Telstra outage (Telecompaper, Telstra CFO Michael Ackland statements) — each surfaced the same governance failure.

Decision implication: Decision Implication: Confirm in writing who can isolate a vendor, invoke manual operations, or trigger insurance notice without waiting for attribution.

KJ-4

Standing assessment maintained from ATB-2026-16/17: Ukraine's creation of a dedicated “long-range impact” command, a Russian diesel export ban, refinery output near 65% of capacity, and an expanded tanker/shadow-fleet campaign (approximately 48–50 vessels struck in five days) raise Russia's incentive for cyber-enabled retaliation against Western energy and logistics networks. **MODERATE CONFIDENCE**, unchanged — no new cyber-specific evidence this week.

Source basis / uncertainty: Source basis: Reuters (Kyiv, 10 July 2026), corroborated by AP and The Guardian. This is now the third consecutive issue on this thread without a confirming cyber-specific indicator.

Decision implication: Decision Implication: No new action required beyond ATB-2026-17's standing guidance.

Section II

What Changed This Week

The Ceasefire Is Over

Iran struck three commercial ships in the Strait of Hormuz on **July 7**. The U.S. retaliated; CENTCOM hit approximately 90 Iranian targets on **July 9** to degrade Iran's ability to threaten Hormuz shipping. Iran's IRGC responded with drones and missiles against U.S.-linked bases in Kuwait and Bahrain. President Trump declared the ceasefire "over" on **July 8** at the NATO summit in Ankara and reaffirmed it on **July 10** via Truth Social, while agreeing to continue talks — another round is possible in Switzerland next week. Trump also floated striking Iranian electric and desalination plants and reinstating a naval blockade; neither has occurred. No new strikes were reported July 9–10 as regional mediators worked to de-escalate.

An Insurance War Game Put a Number on an Old Warning

The Volt Typhoon pre-positioning threat has been documented since 2023–24, most recently reinforced by CISA/NCSC-UK Advisory AA26-113A (23 April 2026) on China-nexus covert networks. What is new this week is a **July 8** insurance-industry tabletop war game concluding specifically that a 5,000-utility disruption scenario would be uninsurable without federal backstop — converting a familiar threat into a live underwriting problem with no clean resolution on war exclusions or TRIA reimbursement.

Russia's Fuel Campaign Gains Permanent Command Structure

President Zelenskyy signed a decree creating a standing long-range strike command on **July 10**; Russia banned diesel exports; Ukraine struck an estimated 48–50 fuel vessels over five days. This is a continuation and structural escalation of the standing assessment carried from ATB-2026-16 and ATB-2026-17, not a freestanding new judgment. No new cyber-specific evidence emerged this week.

CRITICAL INTELLIGENCE WARNING

Non-adversarial case study, not a threat indicator: Telstra's July 8 nationwide outage — confirmed by the company as a GPS timing-rollover software defect, not a cyberattack — disrupted rail, payments, and Triple Zero emergency calls. No adversary involvement was identified. It is retained here solely as a real-world proof of concept for KJ-3's authority-gap finding: telecom and timing dependencies can silently underpin hospital coordination, data-center operations, and emergency-call routing.

Section III

Cross-Sector Implications

Energy Gulf Transit / ERCOT / OT	What changed: Iran dominates this row this issue — Gulf and Hormuz transit risk is now live, not theoretical, with oil prices already moving in response to the ceasefire collapse. Why it matters locally: Texas LNG exporters and Gulf-transiting refiners should treat this as an active watch item. Russian retaliation risk (KJ-4) remains a secondary, lower-urgency thread in the same sector. Cascade risk: A Hormuz disruption or confirmed Iranian OT compromise would extend to logistics, finance, and regional fuel supply within hours.
Financial Insurance / Coverage / Recovery	What changed: This is where this issue's weight sits. The war game's uninsurable-at-scale finding is a specific, board-ready number. Why it matters locally: Texas firms with cyber coverage tied to critical-infrastructure dependency should check their own war-exclusion and TRIA-reimbursement language this quarter, before a real event forces the same unresolved question WIRED's insurers just faced live. Cascade risk: An unresolved coverage question during an active event extends restoration and recovery timelines rather than shortening them.
Healthcare / DIB / AI Continuity / Dependency Testing	What changed: Water-cascade risk (war game) and Gulf-driven energy volatility (Iran) both flow downstream into this sector. Why it matters locally: Hospitals, data centers, and defense manufacturers should use both developments to pressure-test continuity assumptions against a scenario where root cause or resolution timeline is unknown for days, not hours. Cascade risk: Healthcare degradation creates immediate safety pressure; DIB degradation creates contract-performance and national-security pressure.

Section IV

Indicators & Warnings — PIR Watch, 1 to 4 Weeks

PIR 3 / IND 1 Further U.S.-Iran strikes or a formal naval blockade announcement [*↑ Rising*]

- Watch for renewed CENTCOM strikes, a formal blockade declaration, or Iranian action against additional Gulf shipping.
- Would shift Liberty CTI's posture from monitoring toward direct crisis guidance for Gulf-exposed Texas sectors.
- Tied to: PIR 3, escalation indicators.

PIR 6 / IND 2 Insurance carriers revising war-exclusion or TRIA language [*↑ Rising*]

- Watch for public carrier statements or policy-language revisions responding to the war-game findings.
- Would confirm KJ-2 is moving from finding to active market response.
- Tied to: PIR 6, executive decision-relevant warning.

PIR 2 / IND 3 U.S. primary-source corroboration of Iranian cyber intensification [*→ Sustained*]

- Watch for a CISA, FBI, or NSA advisory, or a named-victim disclosure, corroborating Iranian cyber intensification.
- Would justify raising KJ-1's cyber-retaliation assessment from MODERATE to HIGH — the specific trigger ATB-2026-17 set, still outstanding.

→ Tied to: PIR 2, cross-sector cyber and operational risk.

PIR 1 / IND 4 Confirmed Volt Typhoon-linked access at a U.S. water utility [→ *Sustained*]

- Watch for CISA disclosures or breach notifications naming a specific water-utility compromise.
- Would convert KJ-2's access-scale uncertainty from simulated to active.
- Tied to: PIR 1, nation-state targeting of critical infrastructure.

PIR 3 / IND 5 Collapse of the Switzerland talks track, or a second telecom/timing failure [→ *Sustained*]

- Watch for a formal breakdown of the next negotiating round, or any second major telecom/timing infrastructure failure (any carrier, any country).
- Either would indicate the pattern behind KJ-3 is systemic rather than isolated, or that the Iran track has fully reverted to open conflict.
- Tied to: PIR 3 and PIR 7, escalation indicators and geopolitical-cyber acceleration.

Section V

Governance Implication Block

Decision at risk	Whether OT isolation and vendor-access posture reflects confirmed Gulf hostilities rather than “talks will continue” headlines — and, separately, whether cyber coverage actually responds to a state-linked critical-infrastructure event.
Owner	CEO, COO, CISO, General Counsel, Risk/Insurance lead.
Consequence of delay	False reassurance on two fronts simultaneously — security posture relaxed on the strength of a negotiating headline, and coverage assumed adequate without verification. Both become the central exhibit in any post-incident regulatory or litigation review.
Action this week	Confirm isolation and disconnection authority delegated after the June 25–26 Hormuz exchange remains active. Pull war-exclusion and TRIA-reimbursement language now.
Record to preserve	Delegation-of-authority documentation, insurance policy language and correspondence, and any board discussion of this brief.

Section VI

Actions This Week

CRITICAL INTELLIGENCE WARNING

- Ask:** Is our posture calibrated to confirmed hostilities, or to headlines?
- Approve:** A 30-minute CISO/GC/Risk session confirming standing isolation authority and reviewing war-exclusion language.
- Document:** Any posture decision made this week, with rationale.
- Rehearse:** Not required this cycle — this is an authority and coverage-verification fix, not a drill.

Section VII

Prior Judgment Tracker

Prior judgment (KJ-1, ATB-2026-17)	Iran's diplomatic and cyber tracks assessed as diverging; MODERATE confidence, single foreign-sourced corroboration.
Current status	ESCALATED. The diplomatic track collapsed into confirmed kinetic exchange July 7–9. The cyber-specific sub-claim remains unresolved on its own terms — still MODERATE, still no U.S. primary-source corroboration.
Prior judgment (KJ-2, ATB-2026-16→17)	Russia's fuel crisis raising cyber-enabled collection and retaliation-signaling incentive against Western energy and logistics targets.
Current status	Tested and held, now with institutional escalation (standing command). MODERATE confidence, unchanged — third consecutive issue without a cyber-specific confirming indicator.
What changed	Ceasefire status moved from “fragile but holding” to “formally over, talks continuing separately” — the most significant confirmed development of the week. Two new judgments entered this issue (KJ-2 water insurability, KJ-3 authority gap); neither supersedes a prior judgment, both are additive.
Next indicator	A CISA/FBI/NSA advisory or named Texas victim remains the specific trigger for the Iran cyber-confidence upgrade. Insurance-language revisions would confirm KJ-2 is moving from finding to market response.

Section VIII — Sourcing

Open Source Basis

PRIMARY SOURCES — ATB-2026-18 — COVERAGE WEEK 5–11 JULY 2026 AND CONTINUING BASELINE

GOVERNMENT / REGULATORY

CISA/NSA/FBI/NCSC-UK et al. — Advisory AA26-113A: Defending Against China-Nexus Covert Networks of Compromised Devices

cisa.gov/news-events/cybersecurity-advisories/aa26-113a

Published 23 April 2026. Carried-forward baseline for KJ-2's cascade/access mechanism. No new intrusion tied to this advisory this week.

GOVERNMENT / REGULATORY

CISA/EPA/FBI/NSA — Joint Advisory AA26-097A: Iranian-Affiliated Cyber Attacks on U.S. Critical Infrastructure

cisa.gov/news-events/cybersecurity-advisories/aa26-097a

Published 7 April 2026. Carried-forward primary basis for the Iranian PLC/HMI reference threat cited in KJ-1, per ATB-2026-17.

WIRE / MAJOR MEDIA

NPR, Washington Post, Axios, Bloomberg — U.S.-Iran ceasefire collapse coverage

npr.org/2026/07/08/nx-s1-5883929/trump-nato-iran-strikes-press-conference

7–10 July 2026. Multi-source, high reliability. Cited for KJ-1 and Section II.

WIRE / MAJOR MEDIA**Reuters (Kyiv) — Ukraine creates “long-range” command to step up strikes on Russia**

[usnews.com/news/world/articles/2026-07-10/ukraine-creates-long-range-command-to-step-up-strikes-on-russia](https://www.usnews.com/news/world/articles/2026-07-10/ukraine-creates-long-range-command-to-step-up-strikes-on-russia)

10 July 2026. Corroborated by AP and The Guardian. Cited for KJ-4 and Section II.

DIRECT OBSERVATION / TRADE PRESS**WIRED — What Happens if China Hacks the US Water Supply? I Went to a Secret War Game to Find Out**

[wired.com/story/what-happens-if-china-hacks-the-us-water-supply-war-game-volt-typhoon](https://www.wired.com/story/what-happens-if-china-hacks-the-us-water-supply-war-game-volt-typhoon)

8 July 2026. Direct observation of an insurance-industry tabletop, not a government exercise. Cited for KJ-2. Limitation: simulated scenario, not an observed intrusion.

TRADE PRESS**Telecompaper — Telstra says secondary fault disrupted some emergency calls after outage**

[telecompaper.com/news/telstra-says-secondary-fault-disrupted-some-emergency-calls-after-outage](https://www.telecompaper.com/news/telstra-says-secondary-fault-disrupted-some-emergency-calls-after-outage)

8–11 July 2026. Direct company statements via CFO Michael Ackland. Cited for KJ-3 and Section II. Welfare-check figures varied by outlet (333–639); treated as a reporting-window discrepancy, not a conflict.

MAJOR MEDIA / FEATURE**The New York Times Magazine — feature reporting on a physical data-center theft and cloud-infrastructure concentration risk**

[nytimes.com/2026/07/12/magazine/data-center-heist.html](https://www.nytimes.com/2026/07/12/magazine/data-center-heist.html)

Published 12 July 2026 — one day past this issue's 5–11 July coverage window; retained as closing framing, not as a dated event. Cited for context only in the centerpiece close.

TORCH FUSION CYCLE

WHAT: The week of 5–11 July 2026 was defined by a confirmed ceasefire collapse and a live insurance-market finding: the U.S.-Iran ceasefire ended after reciprocal strikes July 7–9; an insurance-industry war game concluded a coordinated water-sector attack would be uninsurable without federal backstop; Russia's fuel-crisis campaign gained standing command structure; and a non-malicious Telstra outage served as a free proof-of-concept for a governance gap observed across all three. **WHO:** The U.S. and Iran (confirmed conflict), the PRC (simulated, standing baseline per CISA AA26-113A), and Russia (carried-forward, structurally escalated) defined the current-week evidence base. **WHY:** Kinetic escalation removes the diplomatic counterweight to Iranian cyber incentive; insurers have publicly demonstrated they lack a clean answer for state-linked critical-infrastructure loss; Russia's institutionalized campaign sustains retaliation incentive independent of any single week's events. **WHAT NEXT:** Leadership should treat this week as a prompt to verify two things now — standing isolation authority, and actual insurance coverage — rather than wait for either to be tested by a real event. *Warnings that arrive too late are not warnings. They are after-action reports.*

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